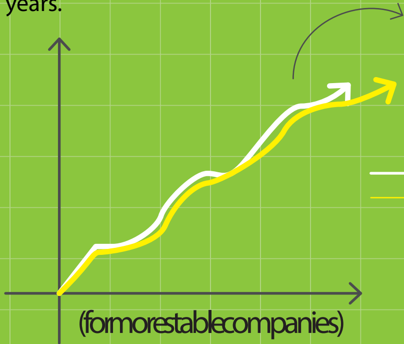
For a startup founder with limited experience and a non-finance background, this can be a difficult calculation. And secondly, a lot of assumptions must be made to arrive at the forecast numbers. Considering that your company is only a year old, it's difficult to forecast the sales numbers three years later. This is because there can be a lot of unknown variables, things can change, pivots may be needed, and new markets can be explored as well.

So, the DCF method that uses a lot of forecasts and assumptions is generally not used to calculate the valuation of a startup. However, DCF is one of the most common methods of valuing listed companies that have been around for many years.

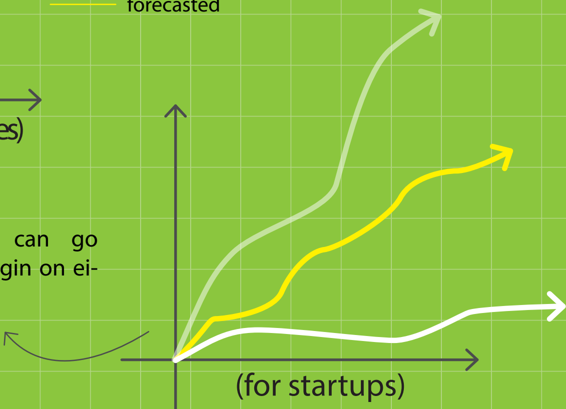


(formorestablecompanies)

In such cases, it's relatively easier to forecast the sales numbers 3-4 years down the line. Even if you forecast wrong, your margin of error is low.

actual
forecasted

With startups, you can go wrong by a huge margin on either side.



(for startups)

Thus, avoid using DCF as a valuation method at early

now DCF as a concept, but we will not be using DCF as a valuation method when it comes to startups.